

Introduction to Advanced Bank Reconciliation in Microsoft Dynamics 365 Finance

Efficient management of financial transactions is essential for every organization. In **Dynamics 365 Finance**, the **Advanced Bank Reconciliation** feature helps businesses automate and streamline the process of matching bank statements with ledger transactions. This functionality reduces manual intervention, improves accuracy, and ensures that financial records remain current and reliable.

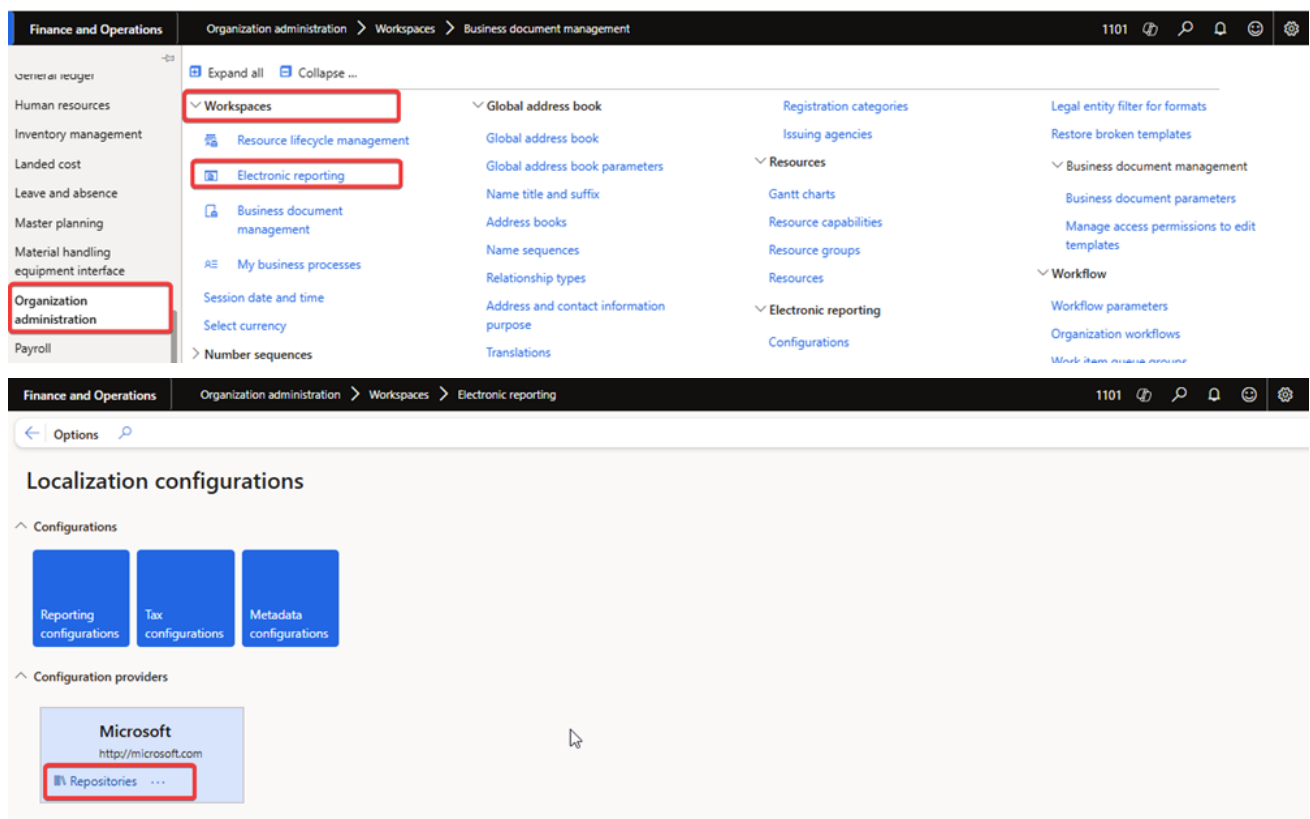
In this article, we will review the key configurations required for Advanced Bank Reconciliation, including **bank statement formats and matching rules**. We will also walk through the end-to-end process, starting from **importing bank statements** to completing the **reconciliation of transactions**.

Configuration

The first step is to **import the required electronic reporting format and configure it appropriately** for processing bank statements within the system.

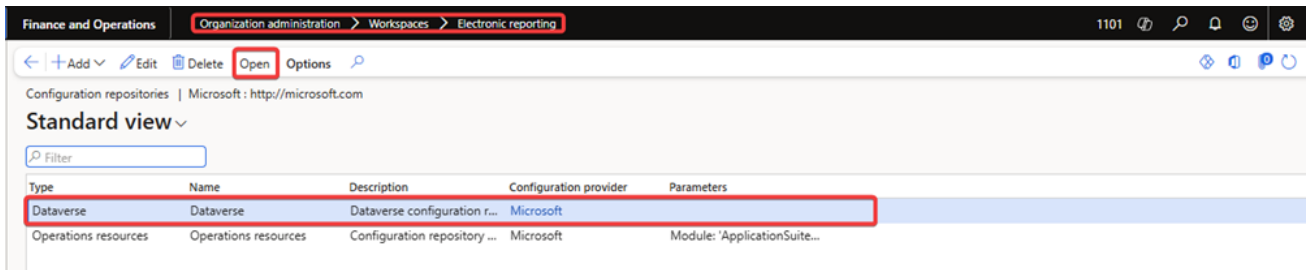
Navigation

Organization administration > Workspaces > Electronic reporting



The screenshot shows the Microsoft Dynamics 365 Finance interface. The top navigation bar indicates the path: **Finance and Operations** > **Organization administration** > **Workspaces** > **Business document management**. The left-hand navigation pane shows the **Organization administration** section expanded, with **Electronic reporting** highlighted. The main content area displays the **Localization configurations** page. Under the **Configurations** section, there are three tiles: **Reporting configurations**, **Tax configurations**, and **Metadata configurations**. Below these, under the **Configuration providers** section, a **Microsoft** provider is listed with the URL <http://microsoft.com>. The **Repositories** link under the Microsoft provider is highlighted with a red box.

Click repositories

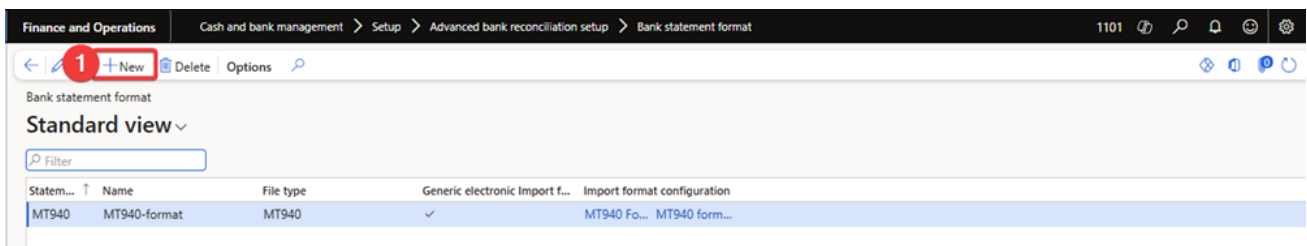
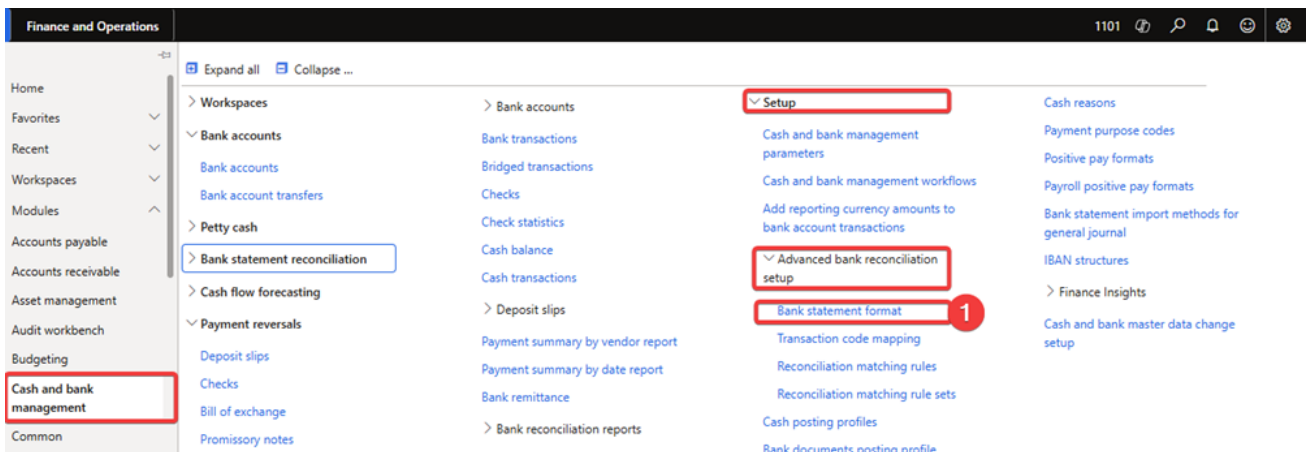


Click on open by selecting the “Dataverse”
Search for the “MT940” and import the latest version.

Bank statement format

Navigation

Cash and bank management > Setup > Advanced bank reconciliation setup > Bank statement format

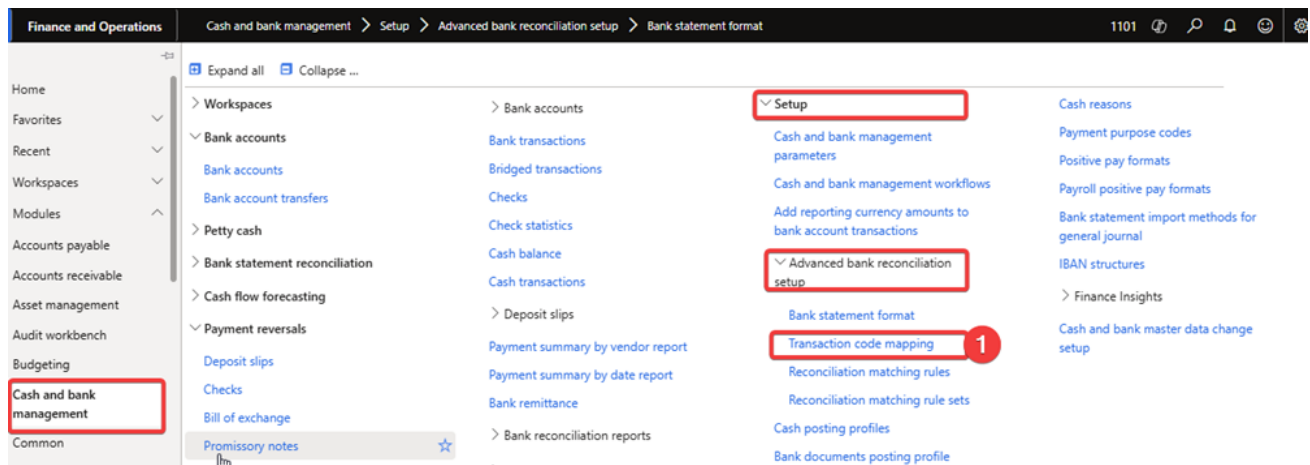


Click new and add the format which already imported and activated before.

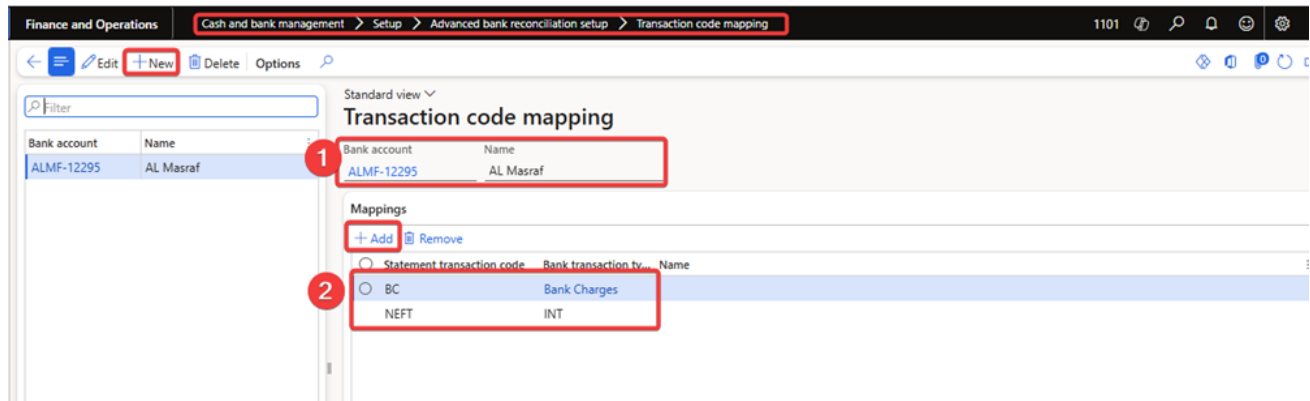
Transaction code mapping

Navigation

Cash and bank management > Setup > Advanced bank reconciliation setup > Transaction code mapping



Click new



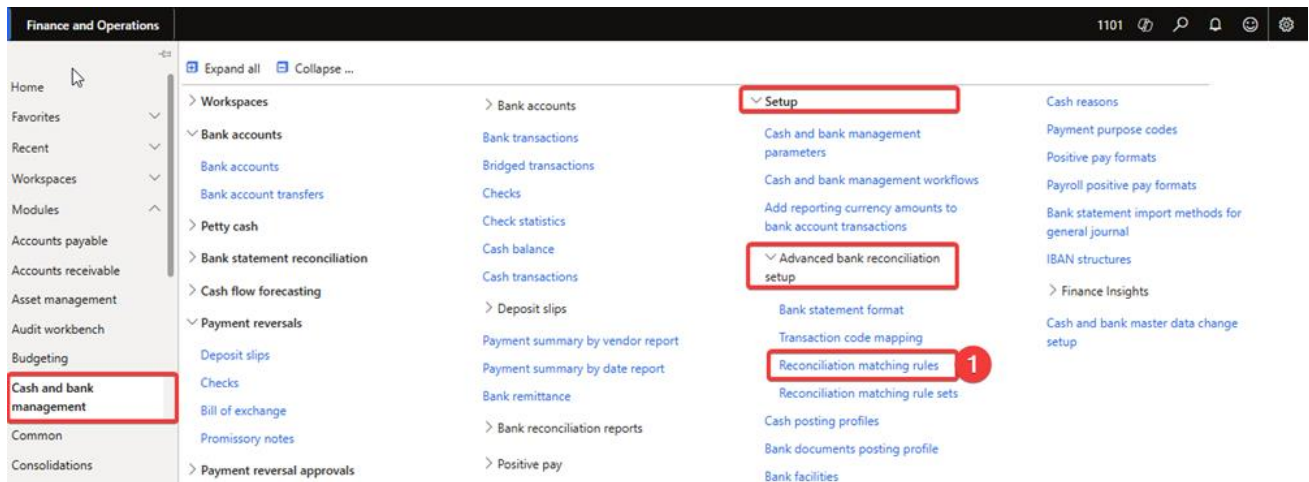
1. Update the bank accounts and name
2. Update here statement transaction code and transaction type by click “add”

Transaction code helps to reconcile the transactions which is not in bank accounts (ERP) but in statements.

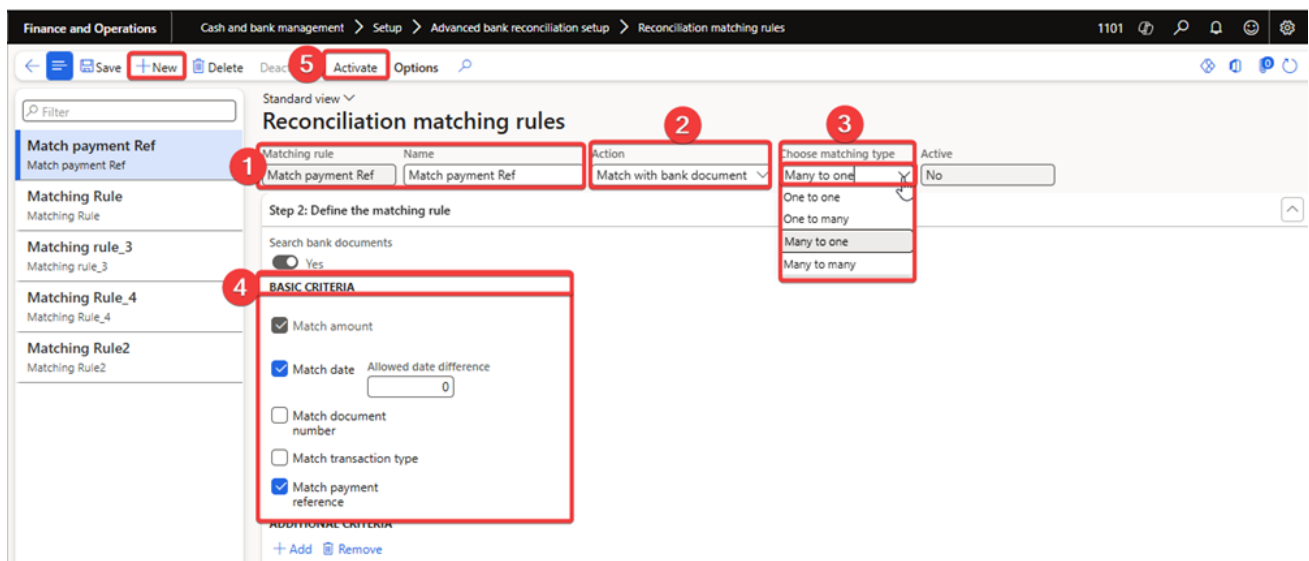
Reconciliation matching rules

Navigation

Cash and bank management > Setup > Advanced bank reconciliation setup > Reconciliation matching rules



Click new



Setting up **Reconciliation Matching Rule Sets** plays a key role in automating bank reconciliation within Dynamics 365 Finance. A well-defined configuration helps streamline the process of matching bank transactions with system records.

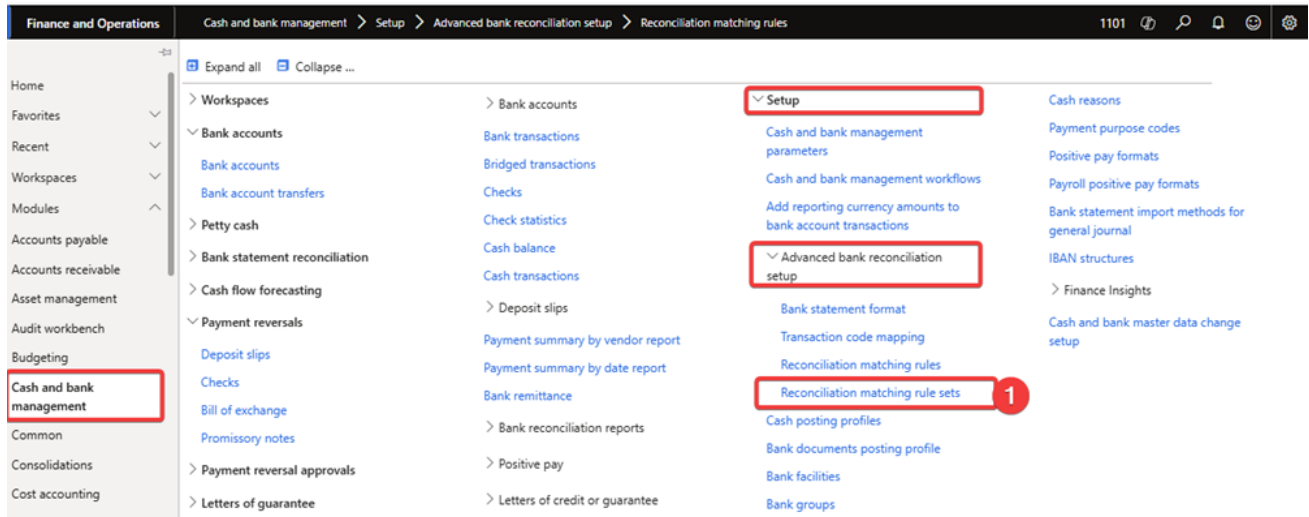
Here is a simple approach to configure a matching rule set:

- 1 Define the **matching rule** and provide an appropriate name for easy identification.
- 2 Select the action **“Match with bank documents”** to enable the system to compare bank statement transactions with corresponding records.
- 3 Choose the **matching type** from the dropdown based on the reconciliation logic you want to apply.
- 4 Configure the **basic criteria** such as amount, date, reference, or transaction type depending on the rule requirements.

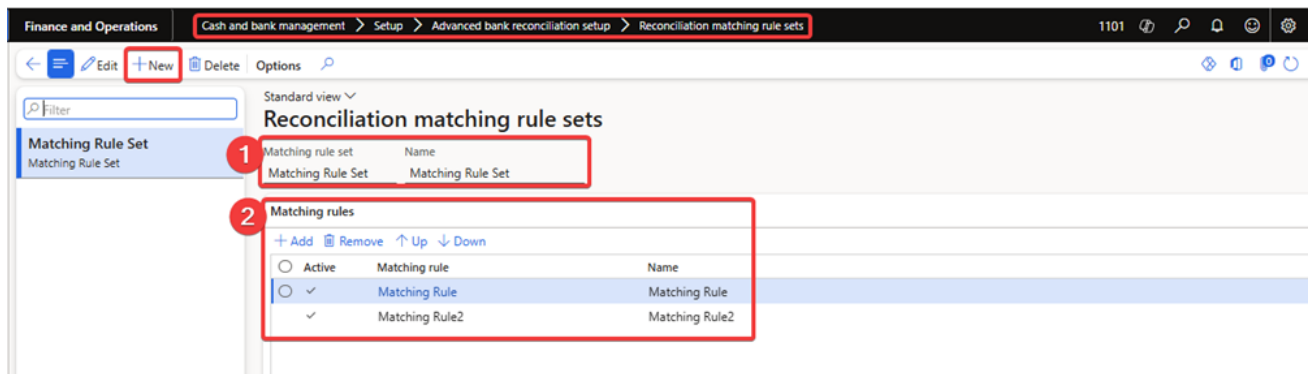
5 Once the setup is complete, ensure the rule is **activated** so that it can be applied during the reconciliation process.

Navigation:

Cash and Bank Management → Setup → Advanced Bank Reconciliation Setup → Reconciliation Matching Rule Sets



Click New



1. Update the matching rule set and name
2. Add active matching rule based on the order of priority

Enabling the Advanced bank reconciliation feature for the Bank accounts

Note: If this feature enabled for a bank account, it cannot be reverted back

Navigation

Cash and bank management > Bank accounts > Bank accounts

Select the Bank account

There is fast tab for reconciliation

1. Enable the “Advanced bank reconciliation
2. Map the statement format here which was created before
3. In case of Automation, this “reconcile after import” toggle can be enabled and map the defaulting matching rule set.

Importing Bank Statements

Navigation

Cash and bank management > Bank statement reconciliation > Bank Statements

Click “Import statement”

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank statements | 1101

Import statement | Reopen | Validate | Post | Reverse statement | Accounting | Sales tax | Print statement | Options

Personalize: Always open for editing, Personalize this page, Add to workspace

Page options: Security diagnostics, Advanced filter or sort, Record info, Go to

Share: Get a link, Create a custom alert, Manage my alerts

Bank statement
Standard view

Status	Statement ID	Bank account	Cur...	From date	To date	Opening b...	Ending balance	Posted	Posting in batch
Reconciled	00001	ALMF-12295	AED	11/1/2024 12:00:00 AM	11/30/2024 12:00:00 AM	0.000	4,360.000		
Reconciled	00001	ALMF-12295	AED	11/30/2024 12:00:00 AM	12/7/2024 12:00:00 AM	4,360.000	5,110.000		
Confirmed	00001	ADCB-12161	AED	2/8/2024 12:00:00 AM	2/8/2024 12:00:00 AM	1,000.000	14,000.000		
Matched	00001	ADCB-12161	AED	2/9/2024 12:00:00 AM	2/9/2024 12:00:00 AM	14,000.000	27,500.000	✓	
Matched	00001	ALMF-12295	AED	12/7/2024 12:00:00 AM	12/25/2024 12:00:00 AM	5,110.000	11,010.000	✓	

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank statements

Import statement | Reopen | Validate | Post | Reverse statement | Accounting | Sales tax | Print statement | Options

Personalize: Always open for editing, Personalize this page, Add to workspace

Page options: Security diagnostics, Advanced filter or sort, Record info, Go to

Share: Get a link, Create a custom alert, Manage my alerts

Bank statement
Standard view

Import bank statements

Parameters

IMPORT

Import statement for multiple ba... ☐ No

Bank account: ALMF-12495

Statement format: MT940

Bank statement file import: 0011003_AccountSta...

Upload

Time zone preference: Auto

AUTOMATION OPTIONS

Reconcile after import ☐ No

Run in the background

Alerts

Batch processing ☐ No

Task description: Import bank statements

Batch group:

Private ☐ No

Critical Job ☐

OK

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank statements | 1101

Operation completed

Import statement | Reopen | Validate | Post | Reverse statement | Accounting | Sales tax | Print statement | Options

Personalize: Always open for editing, Personalize this page, Add to workspace

Page options: Security diagnostics, Advanced filter or sort, Record info, Go to

Share: Get a link, Create a custom alert, Manage my alerts

Bank statement
Standard view

Status	Statement ID	Bank account	Cur...	From date	To date	Opening b...	Ending balance	Posted	Posting in batch
Reconciled	00001	ALMF-12295	AED	11/1/2024 12:00:00 AM	11/30/2024 12:00:00 AM	0.000	4,360.000		
Reconciled	00001	ALMF-12295	AED	11/30/2024 12:00:00 AM	12/7/2024 12:00:00 AM	4,360.000	5,110.000		
Confirmed	00001	ADCB-12161	AED	2/8/2024 12:00:00 AM	2/8/2024 12:00:00 AM	1,000.000	14,000.000		
Matched	00001	ADCB-12161	AED	2/9/2024 12:00:00 AM	2/9/2024 12:00:00 AM	14,000.000	27,500.000	✓	
Matched	00001	ALMF-12295	AED	12/7/2024 12:00:00 AM	12/25/2024 12:00:00 AM	5,110.000	11,010.000	✓	
Open	00002	ALMF-12495	AED	3/1/2024 12:00:00 AM	3/31/2024 12:00:00 AM	0.000	950.000		

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank statements | 1101

← Edit + New Delete Import statement **2 Reopen** Validate **3 Post** Reverse statement Accounting Sales tax Print statement Options

Personalize: Always open for editing, Personalize this page, Add to workspace ✓
 Page options: Security diagnostics, Advanced filter or sort, Record info, Go to ✓
 Share: Get a link, Create a custom alert, Manage my alerts

Bank statement
Standard view

Filter

Status	Statement ID	Bank account	Cur...	From date	To date	Opening b...	Ending balance	Posted	Posting in batch
Reconciled	00001	ALMF-12295	AED	11/1/2024 12:00:00 AM	11/30/2024 12:00:00 AM	0.000	4,360.000		
Reconciled	00001	ALMF-12295	AED	11/30/2024 12:00:00 AM	12/7/2024 12:00:00 AM	4,360.000	5,110.000		
Confirmed	00001	ADCB-12161	AED	2/8/2024 12:00:00 AM	2/8/2024 12:00:00 AM	1,000.000	14,000.000		
Matched	00001	ADCB-12161	AED	2/9/2024 12:00:00 AM	2/9/2024 12:00:00 AM	14,000.000	27,500.000	✓	
Matched	00001	ALMF-12295	AED	12/7/2024 12:00:00 AM	12/25/2024 12:00:00 AM	5,110.000	11,010.000	✓	
1 Confirmed	00002	ALMF-12495	AED	3/1/2024 12:00:00 AM	3/31/2024 12:00:00 AM	0.000	950.000		

1. After Validating the status changed as “Confirmed”
2. If need to change status as “open” there is button to “reopen”
3. Post the statement

Bank Reconciliation

Navigation

Cash and bank management > Bank statement reconciliation > Bank reconciliation

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank statements | 1101

Workspaces: Expand all, Collapse ...

- Workspaces
 - Payment reversal approvals
 - Letters of credit or guarantee
 - Bank groups
- Bank accounts
 - Letters of guarantee
 - Cash reports
 - Bank transaction types
- Bank account transfers
 - Periodic tasks
 - Bank transaction groups
- Petty cash
 - Setup
 - Cash and bank management parameters
 - Cash and bank management workflows
 - Add reporting currency amounts to bank account transactions
 - Advanced bank reconciliation setup
 - Cash reasons
 - Payment purpose codes
 - Positive pay formats
 - Payroll positive pay formats
 - Bank statement import methods for general journal
 - IBAN structures
 - Finance Insights
- Bank statement reconciliation**
 - Bank accounts
 - Bank statements
 - Bank transactions
 - Bank reconciliation** **1**
 - Consolidated bank reconciliation
- Inquiries and reports
 - Bank accounts
 - Bank transactions
 - Bridged transactions
 - Checks
 - Check statistics
 - Cash balance
 - Cash transactions

Click new

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation | 1101

← Save + New **4 Worksheet** Mark as reconciled Mark as reconciled in batch Reverse reconciliation Print reconciliation statement Options

Bank reconciliation
Standard view

Show: Open Bank account: [dropdown] Show user-created only: ☐

Overview **1** General Blocking History

Bank account	Reconcile ID	Description	Currency	2 Cut-off date	Last statement ID	3 Ending balance	Total amount	Reconc...	Snapshot
1 ALMF-12495	1101-000112	AL Masraf 0011003	AED	2 3/31/2024	00002	3 950.000	950.000	☐	☐

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation | 1101

Save + New **4** Run matching rules Subtotal Mark as reconciled Mark as reconciled in batch Reverse reconciliation Print reconciliation statement Options

1101-000112 : ALMF-12495 | Standard view

Bank reconciliation

1101-000112: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

Unmatched transactions

Match Mark as new

BANK STATEMENT TRANSACTIONS

Total amount: 950.00 | Matched amount: 0.00 | Unmatched amount: 950.00

Open filters Clear filters

Booking date	Debit	Credit	Bank transaction code	Document number
3/8/2024	1,200.00		NEFT	
3/9/2024	400.00		NEFT	
3/28/2024	1,200.00		NEFT	
3/29/2024		1,400.00	NEFT	
3/31/2024		400.00	NEFT	
3/31/2024		50.00	NEFT	

BANK TRANSACTIONS

Total amount: 1,000.00 | Matched amount: 0.00 | Unmatched amount: 1,000.00

Open filters Clear filters

Date	Debit	Credit	Bank transaction ty...	Document type
3/8/2024	1,200.00			Others
3/9/2024	400.00			Others
3/28/2024	1,200.00			Others
3/29/2024		1,400.00		Others
3/30/2024		400.00		Others

Matched transactions

Unmatch Unmatch all Change view of matched transactions

BANK STATEMENT TRANSACTIONS

BANK TRANSACTIONS

1. Transactions in the bank statement are appearing here
 2. Bank transactions in the system are appearing here as well.
 3. After running the matching rule, Transaction will be matched, and it will be appearing here
- “Run matching Rule”

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation

Save + New Delete Run matching rules Subtotal Mark as reconciled Mark as reconciled in batch Reverse reconciliation Print

1101-000111 : ALMF-12495 | Standard view

Bank reconciliation worksheet

1101-000111: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

Booking date	Debit	Credit	Bank transaction code	Document number
3/28/2024	1,200.00		NEFT	
3/29/2024		1,400.00	NEFT	

Matched transactions

Unmatch Unmatch all Change view of matched transactions

BANK STATEMENT TRANSACTIONS

BANK TRANSACTIONS

We didn't find anything to show here.

Run bank reconciliation matching rule

Parameters

MATCHING RULE

Matching rule set Matching Rule

Matching rule Matching Rule

Run in the background

Recurrence Alerts

Batch processing ☒ No

Task description Run bank reconciliation matc...

Batch group [Dropdown]

Private ☒ No

Critical Job ☒ No

Monitoring category Undefined

Start date: 1/1/2025 (06:42:19 am) (GMT) Coordinated Universal Time

OK Cancel

Update either matching rule set or matching rule.
After updating the rule Click ok.

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation | 1101

1101-000112: ALMF-12495 | Standard view

Bank reconciliation worksheet

1101-000112: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

Open filters Clear filters

Booking date	Debit	Credit	Bank transaction code	Document number
3/31/2024		400.000	NEFT	
3/31/2024		50.000	NEFT	

Open filters Clear filters

Date	Debit	Credit	Bank transaction ty...	Document type
3/30/2024		400.000		Others

1 Matched transactions

Unmatch Unmatch all Change view of matched transactions

BANK STATEMENT TRANSACTIONS

Booking date	Debit	Credit	Bank transaction code
3/8/2024	1,200.000		NEFT
3/9/2024	400.000		NEFT
3/28/2024	1,200.000		NEFT

BANK TRANSACTIONS

Date	Debit	Credit	Bank transaction ty...	Document type	Document ...	Company
3/8/2024	1,200.000			Others		1101

1. Matched transaction after running the rule
2. These transactions are not matched even if matching rule proceeded

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation | 1101

1101-000112: ALMF-12495 | Standard view

Bank reconciliation worksheet

1101-000112: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

Unmatched transactions

Match Mark as new

BANK STATEMENT TRANSACTIONS

Total amount: 950.00 | Matched amount: 1,400.00 | Unmatched amount: -450.00

Open filters Clear filters

Booking date	Debit	Credit	Bank transaction code	Document number
3/31/2024		400.000	NEFT	
3/31/2024		50.000	NEFT	

BANK TRANSACTIONS

Total amount: 1,000.00 | Matched amount: 1,400.00 | Unmatched amount: -400.00

Open filters Clear filters

Date	Debit	Credit	Bank transaction ty...	Document type
3/30/2024		400.000		Others

1. This transaction is not matched because the date is different. This type of transaction can be matched manually. For this select the transaction and click "Match".
2. There is no transaction in the bank against this transaction in the "Bank statement". This can be a new transaction and click "Mark as new" (Highlighted) to record transaction in the bank in ERP.

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation | 1101

1101-000112 : ALMF-12495 | Standard view

Bank reconciliation worksheet

1101-000112: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

Booking date	Debit	Credit	Bank transaction code	Document number	Trading party	Reference No.	Status	Posted	Reversal	Sta
3/28/2024	1,200.000		NEFT							
3/29/2024		1,400.000	NEFT							
3/31/2024		400.000	NEFT							

New transactions

Unmark Unmark all Update accounting date Distribute amounts Sales tax Line details Post Voucher

BANK STATEMENT TRANSACTIONS

Booking date	Debit	Credit	Bank transaction code	Document number	Trading party	Reference No.	Status	Posted	Reversal	Sta
3/31/2024		50.000	NEFT			12310	Booked			00

After Clicking “Mark as New”, one line is created under the “New Transactions”

1. “Accounting date” can be updated from here.
2. Click line details

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation | 1101

1101-000112 : ALMF-12495 | Standard view

Bank reconciliation worksheet

1101-000112: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

Booking date	Debit	Credit	Bank transaction code	Document number	Trading party	Reference No.	Status	Posted	Reversal	Sta
3/28/2024	1,200.000		NEFT							
3/29/2024		1,400.000	NEFT							
3/31/2024		400.000	NEFT							

New transactions

Unmark Unmark all Update accounting date Distribute amounts Sales tax Line details Post Voucher

BANK STATEMENT TRANSACTIONS

Booking date	Debit	Credit	Bank transaction code	Document number	Trading party	Reference No.	Status	Posted	Reversal	Sta
3/31/2024		50.000	NEFT			12310	Booked			00

Line details

General Financial Financial dimensions line

TRANSACTION DETAILS

Offset account number 71334

Currency AED

Amount -50.000

Exchange rate 100.0000

Description

BANK

Bank transaction type BACH

TAX

Sales tax group

Item sales tax group

OK Cancel

1. Click “Financial” Tab
2. Update the bank transaction type here. Then the offset account got updated (If it is mapped in the bank transaction type). If it is not updated select the offset account manually.
3. Update financial dimensions here.

New transactions

Unmark Unmark all Update accounting date Distribute amounts Sales tax Line details **Post** Voucher

BANK STATEMENT TRANSACTIONS

☐	☒	Booking date	Debit	Credit	Bank transaction code	Document number	Trading party	Reference No.	Status	Posted	Reversal	Staten
☐	☒	3/31/2024		50.000	NEFT			12310	Booked	☐	☐	00002

Post the transaction.

Finance and Operations Cash and bank management > Bank statement reconciliation > Bank reconciliation 1101

Save + New Delete Run matching rules Subtotal **Mark as reconciled** Mark as reconciled in batch Reverse reconciliation Print reconciliation statement Options

1101-000112: ALMF-12495 | Standard view

Bank reconciliation worksheet

1101-000112: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

DATE	AMOUNT	CURRENCY	TRANSACTION CODE
3/28/2024	1,200.000		NEFT
3/29/2024			1,400.000 NEFT
3/31/2024			400.000 NEFT

New transactions

Unmark Unmark all Update accounting date Distribute amounts Sales tax Line details **Post** Voucher

BANK STATEMENT TRANSACTIONS

☐	☒	Booking date	Debit	Credit	Bank transaction code	Document number	Trading party	Reference No.	Status	Posted	Reversal	Staten
☐	☒	3/31/2024		50.000	NEFT			12310	Booked	☒	☐	00002

After Posting, Click “Mark as reconciled”.

Finance and Operations Cash and bank management > Bank statement reconciliation > Bank reconciliation 1101

Save + New Delete Run matching rules Subtotal **Mark as reconciled** Mark as reconciled in batch Reverse reconciliation Print reconciliation statement Options

1101-000112: ALMF-12495 | Standard view

Bank reconciliation worksheet

1101-000112: Cut off date: 3/31/2024 Bank: AL Masraf 0011003 Currency: AED

DATE	AMOUNT	CURRENCY	TRANSACTION CODE
3/28/2024	1,200.000		NEFT
3/29/2024			1,400.000 NEFT
3/31/2024			400.000 NEFT

New transactions

Unmark Unmark all Update accounting date Distribute amounts Sales tax Line details **Post** Voucher

BANK STATEMENT TRANSACTIONS

☐	☒	Booking date	Debit	Credit	Bank transaction code	Document number	Trading party	Reference No.	Status	Posted	Reversal	Staten
☐	☒	3/31/2024		50.000	NEFT			12310	Booked	☒	☐	00002

Do you want to proceed the bank reconciliation now?

Yes **No**

Click Yes.

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank reconciliation

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← Edit + New Delete Worksheet Mark as reconciled Mark as reconciled in batch Reverse reconciliation Print reconciliation statement Options

Bank reconciliation

Standard view

Show Reconciled Bank account ☐ Show user-created only

Overview General Blocking History

Bank account	Reconcile ID	Description	Currency	Cut-off date	Last statement ID	Ending balance	Total amount	Reconc...	Snapshot
ALMF-12295	1101-000091	AL Masraf 0011001	AED	12/25/2024	00001	11,010.000	5,900.000	✓	
ALMF-12295	1101-000011	AL Masraf 0011001	AED	12/8/2024	00001	5,110.000	750.000	✓	
ALMF-12295	1101-000004	AL Masraf 0011001	AED	11/13/2024		0.000	4,360.000	✓	
ALMF-12495	1101-000112	AL Masraf 0011003	AED	3/31/2024	00002	950.000	950.000	✓	
ADCB-12161	1101-000053	Abu Dhabi Commercial B...	AED	2/9/2024	00001	27,500.000	26,500.000	✓	

After Reconciliation The “Tick mark” updated here.

Finance and Operations | Cash and bank management > Bank statement reconciliation > Bank statements

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← Edit + New Delete Import statement Reopen Validate Post Reverse statement Accounting Sales tax Print statement Options

Personalize: Always open for editing, Personalize this page, Add to workspace

Page options: Security diagnostics, Record info, Go to

Share: Get a link, Create a custom alert, Manage my alerts

Bank statement

Standard view

Filter

Status	Statement ID	Bank account	Cur...	From date	To date	Opening b...	Ending balance	Posted	Posting in batch
Reconciled	00001	ALMF-12295	AED	11/1/2024 12:00:00 AM	11/30/2024 12:00:00 AM	0.000	4,360.000		
Reconciled	00001	ALMF-12295	AED	11/30/2024 12:00:00 AM	12/7/2024 12:00:00 AM	4,360.000	5,110.000		
Confirmed	00001	ADCB-12161	AED	2/8/2024 12:00:00 AM	2/8/2024 12:00:00 AM	1,000.000	14,000.000		
Matched	00001	ADCB-12161	AED	2/9/2024 12:00:00 AM	2/9/2024 12:00:00 AM	14,000.000	27,500.000	✓	
Matched	00001	ALMF-12295	AED	12/7/2024 12:00:00 AM	12/25/2024 12:00:00 AM	5,110.000	11,010.000	✓	
1 Reconciled	00002	ALMF-12495	AED	3/1/2024 12:00:00 AM	3/31/2024 12:00:00 AM	0.000	950.000	✓	